



CONSTRUCTION GLOSSARY

Construction Terms and Their Meanings

A complete reference guide to construction industry terminology — from BOQ and DPR to RA Bills, retention, and variation orders. Written for contractors, site engineers, project managers, and EPC teams working in India and the Middle East.

200+

Terms defined

A-Z

Alphabetical index

India

and Gulf context

JUMP TO LETTER



Q

R

S

T

U

V

W

X

Y

Z

A

4 terms

A

Abstract of Cost

A summarised statement of the total estimated cost of a construction project, compiled from detailed quantity take-offs and rate schedules. It consolidates all cost heads — materials, labour, plant, subcontractors, overheads, and contingencies — into a single document used for client approval and project budgeting.

B

C

D

E

Acceptance Test

A formal verification process conducted before a client takes handover of a completed construction element, system, or project. It confirms that the work meets the specified standards, drawing requirements, and contractual obligations.

F

G

Acceptance tests are common in MEP, HVAC, waterproofing, and facade systems.

H

I

Advance Payment Guarantee **APG**

J

K

A bank guarantee provided by the contractor to the client protecting against non-performance after an advance mobilisation payment has been made. If the contractor fails to perform, the client can invoke the APG to recover the

advance. It is standard practice in EPC and government contracts in India.

As-Built Drawings

Revised drawings prepared at the completion of a construction project that reflect the actual dimensions, locations, and configurations of all elements as they were built — including any deviations from the original design drawings. As-built drawings are mandatory for handover, operations, and future maintenance or renovation work.

B

5 terms

Bar Bending Schedule BBS

A detailed document specifying the **type, size, shape, length, and quantity of steel reinforcement bars** required for structural elements such as beams, columns, slabs, and footings. The BBS helps contractors accurately calculate steel quantities, reduce wastage, ensure structural compliance, and match material consumption against project cost and BOQ records.

Bill of Quantities BOQ

A structured document listing **all materials, labour, and work items** required to complete a construction project, along with their quantities and unit rates. The BOQ acts as the foundation for project estimation, tendering, billing, and payment. It enables accurate project costing, prevents disputes during billing, and helps track actual vs planned expenses throughout execution.

Bore Log Report

A site investigation report that records soil strata details obtained during borehole drilling, including soil type, depth, groundwater level, and rock layers. Bore log reports are essential for foundation design and structural safety assessment. They determine foundation type selection and prevent structural failures by giving consultants accurate ground condition data before design finalisation.

Budget vs Actual

A comparison report tracking the **planned project cost** (budget) against the **cost actually incurred** (actual) at any point during execution. Budget vs actual analysis is the primary tool for identifying cost overruns, managing financial risk, and taking corrective action before overruns compound. In construction, this report is most effective when updated daily from site activity rather than monthly from accounts.

Built-Up Area BUA

The total floor area of a building including the thickness of external walls, corridors, stairways, balconies, and all enclosed spaces. Built-up area is used in billing, valuation, and rate-per-square-foot calculations. It is distinct from carpet area (usable internal area) and super built-up area (which adds common areas and amenity zones).

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Cash Flow Statement

A projection of the timing and amount of money flowing into and out of a construction project over its duration.

Construction cash flow planning is critical because projects often require large upfront expenditure before client billing milestones are reached. Poor cash flow management is one of the most common causes of project delays and contractor financial distress.

Change Order CO

A formal document authorising a modification to the original scope of work, cost, or schedule of a construction contract.

Change orders arise from client-initiated design changes, unforeseen site conditions, or errors in the original scope. Every change order must be agreed and signed before work begins to protect the contractor's right to claim additional payment.

Completion Certificate

An official document issued by the client or project owner confirming that all contracted works have been completed in accordance with the drawings, specifications, and contract terms. The completion certificate typically triggers the release of the final payment, the start of the defect liability period, and the return of retention money.

Contract Labour

Workers hired through a labour contractor or agency for a specific project or duration rather than employed directly by the principal employer. In India, contract labour is regulated under the Contract Labour (Regulation and Abolition) Act, 1970.

Contractors must maintain attendance records, ensure minimum wages, and provide statutory benefits to contract workers deployed on site.

Cost Leakage

Unplanned or untracked expenditure that reduces project profitability without corresponding work output — including ghost labour payments, material pilferage, duplicate vendor payments, and unauthorised petty cash. Cost leakage in construction typically ranges from 8% to 15% of project cost and is most effectively controlled through real-time tracking of labour, materials, and approvals rather than month-end reconciliation.

D

4 terms

Daily Progress Report DPR

A site-level report capturing **daily work progress**, including labour deployed, work completed by activity, materials consumed, equipment on site, and any delays or issues encountered. DPRs are the primary accountability tool between site teams and management. They support billing and claims, enable trend analysis, and create an auditable record of project execution when maintained consistently.

Defect Liability Period DLP

A contractually defined period after project completion during which the contractor is required to return and remedy any defects arising from workmanship or materials at no additional cost to the client. The DLP typically ranges from 12 to 36

months depending on the contract type. Retention money held by the client is usually released at the end of the DLP after a satisfactory defects inspection.

Detailed Project Report DPR

A comprehensive feasibility and planning document prepared before a construction project begins — covering technical scope, design approach, estimated cost, funding plan, timelines, and risk assessment. In India, DPR preparation is mandatory for government infrastructure projects before approval and fund release by authorities such as NHAI, RERA, or municipal bodies.

Drawing Register

A controlled document tracking all engineering drawings associated with a project — including drawing number, title, revision history, issued date, and current revision status. The drawing register ensures that site teams always work from the latest approved version and provides an audit trail of all design changes throughout the project lifecycle.

E

3 terms

Estimation

The process of calculating the **total cost of a construction project** — including materials, labour, equipment, overheads, and profit margin — before execution begins. Accurate estimation prevents cost overruns, improves tender success rate, and protects project margins. It forms the basis for the BOQ and is the starting point for all project financial controls.

EPC Contract

An Engineering, Procurement, and Construction contract where a single contractor is responsible for the entire project delivery — from engineering design and material procurement through to on-site construction and handover. EPC contracts are lump-sum fixed-price arrangements common in power, oil and gas, water treatment, and large infrastructure projects. The contractor bears the risk of cost and schedule overruns.

Escalation Clause

A contract provision allowing the contract price to be adjusted if specific material or labour costs increase beyond a defined threshold during project execution. Common in long-duration contracts, escalation clauses protect contractors from inflation risk on steel, cement, and fuel. The adjustment is typically calculated using government-published indices such as the Wholesale Price Index (WPI) in India.

F

3 terms

Float

The amount of time by which a construction activity can be delayed without affecting the overall project completion date. Also called slack, float is a key output of critical path analysis. Activities with zero float are on the critical path — any delay to these activities directly delays project completion. Managing float effectively is essential for schedule recovery planning.

Force Majeure

A contract clause that relieves a party from contractual obligations when extraordinary events beyond its reasonable control make performance impossible — including natural disasters, pandemics, wars, and government actions. In construction, invoking force majeure typically entitles the contractor to a time extension but not necessarily additional cost. The clause must be specifically defined and triggered in writing within the timeframe specified in the contract.

Foundation

The lowest structural element of a building that transfers all loads from the superstructure to the ground. Foundation types are determined by soil bearing capacity, structural loads, and groundwater conditions — including isolated footings, combined footings, raft foundations, pile foundations, and well foundations. Foundation design is based on bore log data and geotechnical investigation reports.

G

3 terms

Goods Received Note GRN

A document prepared at site when materials are received from a vendor, recording the quantity, quality, and condition of goods delivered against a purchase order. The GRN is the trigger for vendor payment — bills are only approved after the GRN confirms that goods were received in full and in acceptable condition. Three-way matching between PO, GRN, and vendor invoice eliminates payment for undelivered or substandard materials.

General Conditions of Contract GCC

The standard terms and conditions that govern the legal relationship between the client and contractor — covering payment terms, variation procedures, dispute resolution, force majeure, termination rights, and insurance requirements. In India, GCC frameworks are prescribed by CPWD, MES, PWD, or state PWD bodies for government contracts.

Gross Floor Area GFA

The total floor area measured to the external face of the perimeter walls on all levels of a building, including all enclosed and semi-enclosed spaces. GFA is the basis for construction cost estimation, FSI (Floor Space Index) calculations, development charges, and local authority approvals in India.



2 terms

Handing Over Certificate

A formal document issued by the contractor to the client confirming that completed works are being handed over for occupation or use. The handing over certificate marks the start of the defect liability period and triggers the final payment milestone. It is distinct from the completion certificate issued by the client confirming acceptance of the works.

Hindrance Register

A site document recording all obstructions and delays that have prevented the contractor from progressing work as planned — including design issues, late material delivery, client-caused delays, utility conflicts, and adverse weather.

Maintained entries in a hindrance register support extension of time claims and protect the contractor's entitlement under the contract.

3 terms

Interim Payment Certificate IPC

A certificate issued by the client's representative (engineer or consultant) approving a contractor's running bill for payment based on work completed to date. IPCs are issued periodically throughout a project — typically monthly — and include deductions for retention, advance recovery, and any damages. Payment against an IPC is typically due within 28 to 45 days under standard contracts.

Inspection and Test Plan ITP

A quality management document defining what checks, tests, and inspections must be carried out at each stage of construction, who is responsible, and what the acceptance criteria are. ITPs ensure that quality control is built into the construction process rather than inspected at the end. They are mandatory on most EPC and government contracts.

Item Rate Contract

A contract type where the contractor is paid a fixed rate for each unit of work completed — such as per cubic metre of excavation or per square metre of plastering. Total payment depends on the actual quantity of work executed. Item rate contracts are common in civil infrastructure work where quantities cannot be precisely determined at the tender stage.

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3 terms

Labour Contract

A written agreement between a principal contractor and a labour contractor specifying the scope of work, labour rates, working conditions, statutory obligations, and payment terms for workers supplied. Under Indian labour law, the principal employer remains ultimately responsible for statutory compliance — including provident fund, ESI, and minimum wages — even for contract workers.

Liquidated Damages LD

Pre-agreed financial penalties deducted from the contractor's payment when project completion is delayed beyond the contractual date, without a valid time extension. Liquidated damages are specified as a daily or weekly rate in the contract and represent a genuine pre-estimate of the client's loss due to delay. LDs protect the client without requiring proof of actual loss.

Lump Sum Contract

A contract where the contractor agrees to complete the entire scope of work for a fixed total price, regardless of the actual quantities of materials and labour used. The contractor bears the risk of quantity variations. Lump sum contracts are

common in design-and-build, EPC, and residential turnkey projects where the scope can be fully defined at tender stage.

M

4 terms

Material Reconciliation Statement

A document comparing the quantity of materials issued to a contractor or subcontractor against the quantity theoretically required based on work completed, with the balance representing on-site stock or unexplained consumption. Material reconciliation is used to identify wastage, pilferage, and over-consumption, and is commonly required before releasing final subcontractor payments.

Material Requisition Note MRN

An internal document raised by a site engineer or storekeeper requesting the procurement or issuance of materials for a specific construction activity. The MRN initiates the procurement workflow and, when linked to the project BOQ, confirms that the requested materials fall within the approved scope and budget before a purchase order is raised.

Mobilisation Advance

An upfront payment made by the client to the contractor at the start of a project to cover initial mobilisation costs — including equipment deployment, temporary facilities, and advance payments to suppliers. The mobilisation advance is typically 5% to 15% of the contract value and is recovered through deductions from progressive running bills. It is secured by an Advance Payment Guarantee from the contractor's bank.

Muster Roll

A statutory attendance register maintained by a contractor recording the names, daily attendance, and wages of all workers deployed on site. Under Indian labour law (Contract Labour Act, Building and Other Construction Workers Act), maintaining an accurate muster roll is a legal obligation. Muster rolls are verified during labour inspections and form the basis for wage calculation and statutory compliance.

N

2 terms

Non-Conformance Report NCR

A formal document raised when construction work, materials, or processes are found to not meet the specified quality standard, drawing requirement, or contractual specification. NCRs must be reviewed, root-caused, and closed with corrective action before the relevant work can proceed. Open NCRs at handover are a common cause of retention disputes and final payment delays.

Notice to Proceed NTP

A formal written instruction issued by the client authorising the contractor to commence work on a project or specific work package. The date of the NTP is the baseline for calculating the project schedule and, where applicable, the commencement of liquidated damages provisions. Work begun before receipt of an NTP may not be covered under the contract.



2 terms

On-Account Payment

A partial payment made to a contractor or subcontractor against work completed to date, without a final settlement of the full account. On-account payments keep cash flowing through the supply chain during execution and are formalised through running bills or interim payment certificates. The final settlement reconciles all on-account payments against the total value of work executed.

Overhead

Costs incurred in running a construction project or business that cannot be directly attributed to specific work items in the BOQ — including site office rent, management salaries, vehicles, communication, insurance, and preliminary works. Overheads are typically expressed as a percentage of direct costs and must be accurately estimated and tracked to protect project profitability.



4 terms

Performance Guarantee PG

A bank guarantee provided by the contractor to the client at contract signing, guaranteeing that the contractor will perform all obligations under the contract. If the contractor fails to complete the project or abandons it, the client can invoke the performance guarantee to recover damages. Typically set at 5% to 10% of the contract value.

Preliminary and General P&G

A BOQ section covering all project setup, temporary works, and site establishment costs that are not directly attributable to permanent works — including site clearance, temporary site office, water and power supply, scaffolding, hoarding, security, and site supervision. P&G costs are priced as a lump sum or as a percentage of the works and form a critical part of project cost estimation.

Profit and Loss Statement P&L

A financial report showing the revenue earned, costs incurred, and net profit or loss on a construction project over a given period. Project-level P&L visibility during execution — rather than only at completion — allows management to identify margin erosion early and take corrective action before profitability is compromised.

Purchase Order PO

A formal commercial document issued by the contractor to a supplier, specifying the materials or services to be supplied, quantities, unit rates, delivery schedule, payment terms, and applicable taxes. The PO constitutes a legally binding contract between the contractor and supplier once accepted. All material procurement should flow through approved POs to maintain financial control and enable three-way matching at payment.



2 terms

Quality Management System QMS

A formalised system documenting processes, procedures, and responsibilities for achieving quality standards in construction. A QMS defines inspection checkpoints, test requirements, non-conformance handling, and corrective action procedures. ISO 9001 is the most commonly applied quality management standard in construction.

Quantity Surveyor QS

A professional responsible for managing all financial and contractual aspects of a construction project — including cost estimation, BOQ preparation, tendering, interim valuations, variation management, and final account settlement. The QS acts as the financial controller of the construction process, ensuring the project delivers within budget and that contractual entitlements are properly claimed and protected.

R

4 terms

RA Bill (Running Account Bill)

A periodic payment claim submitted by the contractor to the client for work completed to date. RA bills are raised throughout the project — typically monthly — and are adjusted for retention deductions, advance recovery, and variation amounts. The bill is verified by the client's engineer before an Interim Payment Certificate is issued for payment. RA bills form the cash flow lifeline of construction projects in India.

Request for Information RFI

A formal document raised by the contractor to the client, consultant, or designer requesting clarification on drawings, specifications, or scope ambiguities that are preventing work from proceeding. RFIs create a documented record of queries

and responses — which is critical for protecting time extension and variation claims arising from client-caused delays or design changes.

Retention Money

A percentage of each RA bill — typically 5% to 10% — withheld by the client as security for the contractor's performance during execution and the defect liability period. Retention is usually released in two halves: the first upon completion and issuance of the completion certificate, and the second at the end of the defect liability period after all outstanding defects are rectified.

Request for Quotation RFQ

A document issued to multiple suppliers inviting them to submit pricing for a specific material or service requirement. RFQs enable competitive procurement by collecting multiple quotations for comparison against quality, price, and delivery schedule. In construction, the RFQ-quotation comparison-PO workflow is the standard procurement control cycle for all significant material purchases.

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4 terms

Schedule of Rates SOR

A published list of standardised unit rates for construction items — labour, materials, and works — compiled by government bodies such as CPWD, MES, PWD, or state authorities. SORs are used as the pricing basis for government contracts and as benchmarks for evaluating contractor tenders. They are updated periodically to reflect market changes.

Site Order Book

A site-level document in which the client's representative, consultant, or supervising engineer records instructions, observations, and directives to the contractor during execution. Entries in the site order book are binding instructions that the contractor must acknowledge and act upon. It serves as an official communication log and is referenced during variation and claim proceedings.

Snag List

A list of defects, incomplete items, and non-conformances identified during a pre-handover inspection of completed construction work. The contractor must rectify all items on the snag list before the client formally accepts the works. Snag list management is critical at project close-out — unresolved snags are one of the most common causes of retention disputes and delayed final payment.

Subcontractor

A specialist contractor engaged by the principal contractor to carry out a defined portion of the works — such as MEP, structural steel fabrication, waterproofing, or interior fit-out. The principal contractor remains responsible to the client for

all subcontracted work. Subcontractor management — covering work orders, progress tracking, billing, retention, and payment — is one of the most complex financial controls in construction project execution.

T

3 terms

Tender

A formal competitive bid submitted by a contractor in response to a client's invitation to tender, specifying the price, methodology, programme, and qualifications to execute a defined scope of work. The tendering process — including pre-qualification, bid preparation, submission, evaluation, and award — is the formal mechanism through which construction contracts are initiated.

Time Extension EOT

A formal grant of additional time beyond the original contract completion date, awarded by the client when delays are caused by events beyond the contractor's control — including client-caused delays, force majeure, design changes, or unforeseen ground conditions. An approved time extension protects the contractor from liquidated damages for the extended period. EOT claims must be substantiated with contemporaneous records and submitted within the timeframes specified in the contract.

Turnkey Contract

A contract where the contractor is responsible for delivering a fully complete and operational facility — ready for the client to “turn the key” and occupy or operate without further work. Similar to an EPC contract, turnkey contracts include design,

procurement, construction, commissioning, and testing. The contractor assumes full design and delivery risk.

U

2 terms

Utilisation Certificate UC

A certificate issued by the executing agency confirming that funds released by the government or funding body have been utilised for the intended purpose. In India, utilisation certificates are a statutory requirement for all government-funded infrastructure projects and must be submitted to the sanctioning authority before further funds are released.

Unit Rate

The price agreed for one unit of a specific work item in the BOQ or schedule of rates — such as the rate per cubic metre of concrete, per kilogram of steel, or per square metre of plastering. Unit rates are the building blocks of construction cost estimation and form the basis for valuing work done, processing RA bills, and pricing variation orders.

V

2 terms

Variation Order VO

A formal instruction changing the scope, specification, quantity, or sequence of contracted works. Variation orders can be additions, omissions, or substitutions to the original scope and must be formally instructed and priced before work begins.

Unsigned variation orders are one of the most common sources of contract disputes — work done without a signed VO may not be recoverable as an additional payment.

Value Engineering VE

A systematic methodology for improving the value of a construction project by analysing its functions and identifying alternative materials, methods, or designs that achieve the same performance at lower cost or better performance at the same cost. Value engineering is most effective when applied during the design stage before procurement commitments are made.

W

2 terms

Work Order

A formal document issued by the contractor to a subcontractor defining the scope of work, quantities, rates, timeline, quality requirements, and payment terms for a specific package of subcontracted work. A digital work order creates a contractual baseline for progress tracking, billing, and dispute resolution — and is the starting point for managing subcontractor retention and milestone payments.

Work-in-Progress WIP

The value of construction work completed but not yet billed or certified for payment. WIP represents the contractor's uncollected revenue on a project at any point in time. High WIP relative to billing indicates cash flow risk. Tracking WIP

accurately requires current knowledge of quantities installed and certified, which is only possible with real-time site progress data.

FAQ

Questions About Construction Terms

Common questions about construction terminology, how these terms are used in practice, and how Onsite helps manage them on live projects.

What is the difference between a BOQ and a BBS?

+

What is a variation order and how is it different from a change order?

+

What is the difference between a DPR and a Detailed Project Report?

+

What is the difference between liquidated damages and a penalty?

+

What is an RA Bill in construction?

+

How does Onsite help manage construction terms like BOQ, GRN, and RA Bills?

+

What is retention money and when is it released?

+

Which construction terms are most important to understand before starting a project?



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Onsite is a construction management software built to help construction companies run projects with clarity and control. As a complete construction ERP software, it connects site teams, project managers, procurement, and finance on one platform. By replacing scattered tools and manual tracking, Onsite construction software helps businesses save time, reduce cost leakages, and improve execution across every project. The result is a practical ERP software that supports real site operations, not just reports.

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